

26STCP02447 26STCP02447

County: los-angeles

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Case Number: 26STCP02447 Hearing Date: August 31, 2026 Dept: 729

Superior

Court of California

County

of Los Angeles

DEPARTMENT 729

TENTATIVE

RULING

STONE STREET ORIGINATIONS, LLC,

vs.

KEVIN PINEDA.

Case

No.: 26STCP02447

Hearing Date: August 31, 2026

Petitioner Stone Street Originations, LLC's

unopposed first amended verified petition for approval of transfer of
structured settlement rights is granted.

Petitioner

Stone Street Originations, LLC ("Stone Street") ("Petitioner") ("Transferee")

petitions unopposed for this Court to approve its First Amended Verified Petition and enter an order in accordance with Insurance Code §§10134 et seq. approving this transfer of certain structured settlement payment rights from real party in interest, Kevin Pineda Ruiz ("Payee") to Petitioner. (Amended Notice Motion, pg. 1.)

Legal
Standard

Insurance Code §10137 provides, "[a] transfer of structured settlement payment rights is void unless a court reviews and approves the transfer and finds the following conditions are met: (a) [t]he transfer of the structured settlement payment rights is fair and reasonable and in the best interest of the payee, taking into account the welfare and support of his or her dependents [; and] (b) [t]he transfer complies with the requirements of this article, will not contravene other applicable law, and the court has reviewed and approved the transfer as provided in Section 10139.5." (Ins. Code §10137.) The transfer agreement is effective only upon approval in a final court order. (Ins. Code §10139.5(a).)

Insurance Code §10139.5(a) requires the court to make the following findings:

(1) The transfer is in the best interest of the payee, taking into account the welfare and support of the payee's dependents.

(2) The payee has been advised in writing by the transferee to seek independent professional advice regarding the transfer and has either received that advice or knowingly waived, in writing, the opportunity to receive the advice.

(3) The transferee has complied with the notification requirements pursuant to paragraph (2) of subdivision (f), the transferee has provided the payee with a disclosure form that complies with Section 10136, and the transfer agreement complies with Sections 10136 and 10138.

(4) The transfer does not contravene any applicable statute or the order of any court or other government

authority.

(5) The payee understands the terms of the transfer agreement, including the terms set forth in the disclosure statement required by Section 10136.

(6) The payee understands and does not wish to exercise the payee's right to cancel the transfer agreement.

(Ins. Code §10139.5(a).)

In addition, pursuant to Insurance Code §10139.5(c):

Every petition for approval of a transfer of structured settlement payment rights, except as provided in subdivision (d), shall include, to the extent known after the transferee has made reasonable inquiry with the payee, all of the following:

(1) The payee's name, address, and age.

(2) The payee's marital status, and, if married or separated, the name of the payee's spouse.

(3) The names, ages, and place or places of residence of the payee's minor children or other dependents, if any.

(4) The amounts and sources of the payee's monthly income and financial resources and, if presently married, the amounts and sources of the monthly income and financial resources of the payee's spouse.

(5) Whether the payee is currently obligated under any child support or spousal support order, and, if so, the names, addresses, and telephone numbers of any individual, entity, or agency that is receiving child or spousal support from the payee under that order or that has jurisdiction over the order or the payments in question.

(6) Information regarding

previous transfers or attempted transfers, as described in paragraph (11), (12), or (13) of subdivision (b). The transferee or payee may choose to provide this information by providing copies of pleadings, transaction documents, or orders involving any previous attempted or completed transfer or by providing the court a summary of available information regarding any previous transfer or attempted transfer, such as the date of the transfer or attempted transfer, the payments transferred or attempted to be transferred by the payee in the earlier transaction, the amount of money received by the payee in connection with the previous transaction, and generally the payee's reasons for pursuing or completing a previous transaction.

(Ins. Code §10139.5(c).)

Discussion

Payee became entitled to certain structured settlement payments in a wrongful death claim. (Amended Petition ¶13.) Through the settlement, Payee became entitled to future payments through a structured settlement annuity, including the payments the Payee seeks to transfer. (See Amended Petition ¶14.)

Payee has entered into a Purchase Contract to transfer certain structured settlement payments to Petitioner. (Amended Petition ¶17, Exh. A.)

The Purchase Contract states that Payee agrees to sell, transfer and assign to Petitioner future payments totaling One Hundred Eighteen Thousand Eight Hundred Nineteen Dollars and 04/100 Cents dollars (\$118,819.04) in the form of the following payments: (A) 1 payment of \$29,704.76 on November 5, 2026; (B) 1 payment of \$29,704.76 on November 5, 2027; (C) 1 payment of \$29,704.76 on November 5, 2028; and (D) 1 payment of \$29,704.76 on November 5, 2029 ("Purchase Payments"). (Amended Petition ¶17, Exh. A at pg. 2.)

The Purchase Payments would be made in exchange for a purchase price of Ninety-Four Thousand Nine Hundred Eleven Dollars and 01/100 Cents dollars (\$94,911.01). (Amended Petition ¶17, Exh. A at pg. 12.) Those future payments have a discounted present value equal to One Hundred Eight Thousand Seven Hundred Seventy Dollars and 75/100 Cents dollars (\$108,770.75). (Amended Petition ¶17, Exh. A at pg. 12.)

The net amount that Payee will receive from Petitioner represents 87.25%

of the estimated current value of the payments and is calculated by dividing the net payment amount by the discounted present value of the payments (or 5.20%). (Amended Petition ¶7, Exh. A at pg. 12.)

Pursuant to Insurance Code §10136, at least ten days prior to the date that Payee signed the Transfer Agreement, Petitioner provided to Payee, and Payee acknowledged receipt thereof, a separate written disclosure statement, ("Disclosure Statement"), completed with the information which applies to this Transfer Agreement. (Amended Petition ¶9(A), Exh. B.)

All of this information has been properly disclosed to Payee by way of the disclosure form in compliance with Insurance Code §10136(b), as required by Insurance Code §10139.5(a)(3). (Amended Petition ¶9(A), Exh. B.) Payee was also advised in writing to seek independent legal, tax, and financial professional advice. (Amended Petition at pg. 9 ¶11, Exh. E.) Payee chose not to seek an independent professional's advice. (Amended Petition at pg. 9 ¶11, Exh. E.) Therefore, Petitioner has complied with the statutory disclosure requirements in Insurance Code §10139.5(a)(2).

The transfer agreement also complies with Insurance Code §§10136 and 10138 as required by Insurance Code §10139.5(a)(3). The transfer agreement does not contravene any applicable statute or order of any court or other governmental authority. (Ins. Code §10139.5(a)(4).) Petitioner has not been able to provide copies of the underlying Settlement Agreement because Payee has not been able to locate a copy of the document or a record of the document. (Amended Motion, Exh. D at ¶9.) However, it is not a requirement for the copy of the underlying structured settlement agreement to be produced; the only requirement is for the document to be produced if it is available. (See Ins. Code §10139.5(f)(2)(G).)

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Information
About Payee

First, the Payee is 18 years old. (Decl. of Pineda Ruiz ¶8.) The Payee resides in Los Angeles and provides his address. (See Amended Petition, Exh. C at ¶1; Service List; Decl. of Pineda Ruiz ¶8.) Therefore, the petition meets the

requirements of Insurance Code §10139.5(c)(1).

Second, the Payee's marital status is single. (Decl. of Pineda Ruiz ¶8.)

Third, the Payee has no minor children or other dependents. (Decl. of Pineda Ruiz ¶8.)

Fourth, the Payee is a college student and is currently unemployed. (See Decl. of Pineda Ruiz ¶¶8, 11.) Therefore, the petition meets the requirements of Insurance Code §10139.5(c)(4).

Fifth, the Payee does not have any court-ordered child support obligations. (Decl. of Pineda Ruiz ¶8.) Therefore, the petition meets the requirements of Insurance Code §10139.5(c)(5).

Sixth, the Payee has not previously assigned a portion of his structured settlement payments rights. (Decl. of Pineda Ruiz ¶¶9-10.)

Petitioner has provided all of the information required by Insurance Code §10139.5(c)(6).

Analysis
of Transfer

The terms of the proposed Purchase Agreement are as follows:

You have agreed to sell to the transferee future payments totaling One Hundred Eighteen Thousand Eight Hundred Nineteen Dollars and 04/100 Cents dollars (\$118,819.04) in exchange for a purchase price of Ninety-Four Thousand Nine Hundred Eleven Dollars and 01/100 Cents dollars (\$94,911.01).

Those future payments have a discounted present value equal to One Hundred Eight Thousand Seven Hundred Seventy Dollars and 75/100 Cents dollars (\$108,770.75). This is the value of your structured settlement in current dollars. This amount was calculated by

applying the discount rate of 5.20% percent utilized by the Internal Revenue Service to value annuities in probate proceedings.

The purchase price to be paid to you was calculated using a discount rate of 14.20% percent.

The purchase price payable to you is less than the present value of the future payments stated above because the discount rate of your transaction is greater than the rate utilized by the Internal Revenue Service.

For comparison purposes:

If You did not sell Your right to receive structured settlement payments, but instead borrowed the net amount of \$94,911.01 and paid that loan back in installments with each of the payments You are now selling, the equivalent interest rate You would be paying for that loan would be

14.20% per year.

(Amended Petition ¶9(A), Exh. B.)

Pursuant to Insurance Code §10139.5(b)(2), Payee intends to use the money he receives from Petitioner to help cover his necessary living and educational expenses while he attends college full time. (Decl. of Pineda Ruiz ¶11.) Because Payee is a full-time student, he has ongoing expenses related to his education, including textbooks, school supplies, course materials, and other necessities required for his classes. (Decl. of Pineda Ruiz ¶11.) Payee also intends to use a portion of the settlement funds to pay off his outstanding automobile loan with Capital One, which currently has a balance of approximately \$17,920. (Decl. of Pineda Ruiz ¶11.) Payee declares that paying off this loan would eliminate a significant monthly financial obligation and provide him with greater financial stability while he completes his education. (Decl. of Pineda Ruiz ¶11.) Payee declares that he also plans to make advance payments toward his automobile insurance so that he can maintain reliable transportation and avoid falling behind on this necessary expense. (Decl. of Pineda Ruiz ¶11.) Payee believes that it is in his best interest to enter into this transaction with the Petitioner. (Decl. of Pineda Ruiz ¶4.)

The Court finds the transfer is in the best

interest of the Payee. The Court determines the transfer is fair and reasonable taking into account his stated goals. The Payee was fully informed of his rights and has knowingly waived independent professional advice regarding the transfer. (Amended Petition at pg. 9 ¶11, Exh. E.)

Accordingly, Petitioner's petition is granted.

Conclusion

Petitioner's unopposed petition is granted.

Moving
Party to give notice.

Dated: August
_____, 2026

Hon. Daniel M. Crowley

Judge of the Superior
Court